

Customs Act, 2007

Document type: act

Source: Nepal Law Commission / Ministry of Law, Justice and Parliamentary Affairs

Chunks merged: 42

Short Title and Commencement: (1) This Act may be cited as the "Customs Act, 2007".

(2) This Act shall come into force immediately, and the other sections shall come into force from the date appointed by the Government of Nepal by notification published in the Nepal Gazette. 2. Definitions: Unless the subject or context otherwise requires, in this Act,-

(a) "Duty free shop" means a shop approved by the Government of Nepal to sell goods imported under bank guarantee facility to a person entitled to diplomatic privilege or concession facility, or to sell to a catering service for international flights or to an airline company for sale in its duty free shop on such flights.

(b) "Transaction value" means the total amount actually paid or payable by the importer to the seller of the imported goods, directly or indirectly, plus the freight, insurance and other related expenses incurred or likely to be incurred in bringing such goods up to the border of Nepal.

(c) "Diplomatic privilege" means the facility or concession to allow export or import of any goods without inspection, without levying duty, only by maintaining a record.

(d) "Declaration" means the act of stating the details of the goods to be exported or imported by the exporter or importer in a declaration form or transmitting them through electronic means as prescribed.

(e) "Smuggling export" means the act of taking goods liable to customs duty outside Nepal without paying customs duty, by hiding or concealing or by evading the route, or, even if the goods are not liable to customs duty, without making a declaration under this Act.

(f) "Smuggling import" means the act of bringing goods liable to customs duty into Nepal without paying customs duty, by hiding or concealing or by evading the route, or, even if the goods are not liable to customs duty, without making a declaration under this Act.

(g) "Inspection" means the act of examining the goods or documents relating to such goods or both by the Customs Office to verify whether the goods to be exported or imported are as declared, and said term also includes the act of body search and X-ray of a passenger entering Nepal from a foreign country or departing from Nepal to a foreign country.

(h) "Clearance" means permission given by a Customs Officer to export or import or remove any goods from the Customs Office in accordance with this Act and the Rules made under this Act.

(i) "Post-clearance audit" means the audit carried out pursuant to Section 34.

(j) "Prescribed" or "as prescribed" means prescribed or as prescribed in the Rules made under this Act.

(k) "Export" means the act of sending goods from Nepal to a foreign country.

(l) "Declaration form" means the form on which the exporter or importer declares the details of the goods to be exported or imported.

Amended by Finance Act, 2022.(m) "Import" means the act of bringing goods from a foreign country into Nepal, and said term also includes the clearance of a container purchased abroad by a shipping company registered in Nepal to operate container services, but which is physically not possible to bring to the Customs Office.

(n) "Bonded warehouse" means a warehouse licensed by the Department where raw materials or auxiliary raw materials required for producing goods to be exported abroad or sold within the country in convertible foreign currency, or goods to be sold in a duty free shop, are imported under bank guarantee facility and kept. Added by Finance Act, 2018.(n1) "Disaster" means earthquake, fire, storm, flood, landslide, excessive rain, drought, famine, epidemic and other such disasters, and said term also includes industrial accident, accident caused by explosive or toxic substances, and any other kind of such disaster.

(o) "Bank" means a commercial bank or financial institution licensed to carry out banking business under the prevailing law.

(p) "Bank guarantee" means the guarantee given by a bank to the Customs Office to pay the duty payable by an exporter or importer at the time of export or import of goods, in case he/she fails to pay.

(q) "Bank guarantee facility" means the facility provided to an exporter or importer to export or import goods on the basis of a bank guarantee. Amended by Finance Act, 2018.(r) "Customs Officer" means the Chief Customs Administrator, Chief Customs Officer or Customs Officer, and said term also includes the head of a Customs Office or a Sub-Customs Office, or a Deputy Director General, Director, Section Officer appointed by the Director General, or an officer designated by the Ministry of Finance pursuant to Section 84.

(s) "Customs Agent" means a person licensed pursuant to Section 51. Amended by Finance Act, 2018.(t) "Customs Office" means a Customs Office established or caused to be established pursuant to Section 4, and said term also includes the premises of such Customs Office and other areas designated by the Government of Nepal by notification published in the Nepal Gazette.

(u) "Customs warehouse" means a house, building, shed or other similar structure or any place built at a Customs Office for storing goods to be exported or imported. Added by Finance Act, 2018.(u1) "Customs Post-Clearance Audit Office" means the office established to carry out the post-clearance audit pursuant to Section 34.

Added by Finance Act, 2018.(u2) "Customs Auditor" means the Chief Customs Audit Administrator, Chief Customs Auditor or Customs Auditor, and said term also includes an officer designated by the Director General to carry out the post-clearance audit pursuant to Section 34. (v) "Customs duty" means the customs duty leviable on goods to be exported or imported under Amended by Customs Tariff Act, 2024.the Customs Tariff Act, 2024. (w) "Customs value" means the value determined pursuant to Section 13 or 16 of the goods to be exported or imported for the purpose of determining customs duty. Amended by Finance Act, 2018.(x) "Customs area" means a customs area designated by the Ministry of Finance or the Director General pursuant to Section 3. (y) "Duty" means all taxes, charges and fees leviable under the law on goods to be exported or imported, and said term also includes customs duty. (z) "Concession facility" means the facility to allow export or import of any goods without levying duty, with or without inspection, only by maintaining a record. (aa) "Director General" means the Director General of the Customs Department. (ab) "Goods" means any kind of movable goods or property including currency. (ac) "Relief materials" mean goods as specified by the Government of Nepal imported as humanitarian assistance for the rescue and relief of victims in a disaster situation. (ad) "Person" means a natural person, and said term also includes any company,

organized institution and firm registered under the law. (ae) "Department" means the Customs Department. Omitted by Customs Tariff Act, 2024.(af) (ag) "Vehicle" means any means used or available for travel or transportation of goods. Added by Finance Act, 2022.(ah) "Internal transport" means the act of taking goods brought for the purpose of import into Nepal from a Customs Office at the entry border only after making a declaration, to another Customs Office for clearance. Chapter-2 Provisions Relating to Customs Area and Customs Office 3. Power to Designate Customs Area and Route: (1) For the purpose of administering the customs law and collecting customs duty under this Act, the Amended by Finance Act, 2018.Ministry of Finance may, by notification published in the Nepal Gazette, designate any area of Nepal as a customs area. Added by Finance Act, 2018.(1a) For the purpose of clearing relief materials or, in a disaster situation, for the purpose mentioned in sub-section (1), the Director General may designate any area of Nepal as a customs area. After the purpose of such designated customs area is over, the Director General shall cancel such customs area.

Amended by Finance Act, 2018.(2) The route for import into Nepal or export from Nepal from the customs area under sub-section (1) may be designated by the Ministry of Finance by notification published in the Nepal Gazette. Provided that, the route for import into Nepal or export from Nepal from the customs area under sub-section (1a) may be designated by the Director General. (3) Goods to be imported into Nepal or exported from Nepal shall be exported or imported only through the route designated under sub-section (2). (4) Subject to sub-section (3), the Director General may designate that certain types of goods may be exported or imported only from a specific Customs Office. (5) Notwithstanding anything contained elsewhere in this Act, the Director General may designate that goods as prescribed or goods up to a value as prescribed may be exported or imported from a Sub-Customs Office. Added by Finance Act, 2018.4. Establishment of Customs Office: (1) The Government of Nepal may, by notification published in the Nepal Gazette, establish a Customs Office or a Sub-Customs Office in any customs area. (2) If, due to a disaster, it becomes impossible to carry out functions from any Customs Office, the Director General may establish a Customs Office in any customs area. After the purpose of such established Customs Office is over, the Director General shall cancel such Customs Office. Added by Finance Act, 2018.4a. Establishment of Customs Post-Clearance Audit Office: (1) The Government of Nepal may, by notification published in the Nepal Gazette, establish a Customs Post-Clearance Audit Office as required. (2) A Customs Post-Clearance Audit Office established before the commencement of this Section shall be deemed to have been established under this Section. Chapter-3 Provisions Relating to Customs Duty 5. 6. 7. 8. Chapter-4 Provisions Relating to Customs Duty Concession, Exemption and Other Facilities 9. 10. Power to Provide Bonded Warehouse Facility: The Government of Nepal may, if it deems appropriate to grant the bonded warehouse facility to a person desiring to avail such facility, provide the facility as prescribed to operate a bonded warehouse, subject to the conditions as prescribed. 11. 12. Chapter-5 Provisions Relating to Customs Value Determination 13.

Basis for Determining Customs Value of Imported Goods: (1) In determining the customs value of imported goods, the rules relating to customs valuation, schedules and interpretative notes set forth in the Agreement on Implementation of Article VII of the General Agreement on Tariffs and Trade (GATT) 1994 shall be adopted. (2) Subject to sub-section (1), the customs value of imported goods shall be determined on the basis of the transaction value of such goods. (3) The importer shall declare the transaction value, attaching details and documents certifying the value of the goods imported by him/her. (4) If the transaction value declared by the importer under sub-section (3) is in accordance with sub-section (1), the Customs Officer shall determine the customs value of the goods on the basis of such transaction value. If it appears that freight, insurance and other related expenses are not included in such transaction value, the Customs Officer

shall determine the transaction value by adding the estimated amount likely to be incurred therefor. (5) The basis for determining the estimated amount under sub-section (4) may be prescribed by the Director General. (6) If there is reasonable cause to believe that the value declared by the importer under sub-section (3) is suspicious, the Customs Officer may request in writing from him/her additional documents or evidence to certify that such value is the actual transaction value. It shall be the responsibility of such importer to provide the documents so requested. (7) If the customs value of any goods cannot be determined on the basis of the transaction value declared under sub-section (3) by the importer or the bill, invoice and documents submitted, the Customs Officer shall give a notice to the concerned importer stating the reason therefor. (8) If the customs value cannot be determined on the basis of transaction value under sub-section (2), the customs value of such goods shall be determined on the basis of the transaction value of identical goods already imported into Nepal prior to the import of such goods. Explanation: For the purpose of this Section, "identical goods" means goods which are the same in all respects, including physical characteristics, quality, nature and features. (9) If the customs value cannot be determined on the basis of the transaction value of identical goods under sub-section (8), the customs value of such goods shall be determined on the basis of the transaction value of similar goods already imported into Nepal.

Explanation: For the purpose of this Section, "similar goods" means goods which, although not alike in all respects, have like characteristics and like component materials which enable them to perform the same functions and to be commercially interchangeable.

(10) If the customs value cannot be determined on the basis of the transaction value of similar goods under sub-section (9), and if such goods have already been imported into Nepal and sold in the market to a person unrelated to the importer, the customs value of such goods shall be determined on the basis of the per unit selling price of the maximum units so sold, deducting taxes, duties, other related expenses and profit incurred in Nepal (according to the deductive value method).

(11) If the customs value cannot be determined under sub-section (10), the customs value shall be determined by computing the cost of production or manufacture of such goods plus the profit taken or likely to be taken by the seller when selling such goods to the importer (according to the computed value method).

(12) If the customs value cannot be determined under sub-section (11), the Customs Officer shall determine the customs value of such goods on a reasonable basis consistent with sub-sections (2), (8), (9), (10) and (11).

(13) Notwithstanding anything contained in sub-sections (10) and (11), if the importer requests to determine the customs value by adopting the procedure under sub-section (11) before sub-section (10), the Customs Officer may determine the customs value under sub-section (11).

Amended by Finance Act, 2018.(14) Notwithstanding anything contained elsewhere in this Section, if, for personal purposes, goods imported under the information relating to personal use goods Amended by Finance Act, 2019.allowed to be brought and taken by a passenger, or goods imported as gifts or samples from a foreign country, or relief materials, the owner of such goods submits an application stating the reason that the transaction value cannot be disclosed and requests for valuation, and if the Customs Officer deems such reason appropriate, or if the goods are presented without value being disclosed, he/she may determine the estimated customs value of such goods.

(15) If the value declared by the importer under sub-section (3) is less than the customs value determined by the Customs Officer under this Section, the Customs Officer may in respect of such goods do the following:-

Amended by Finance Act, 2023.(a) if the goods are liable to customs duty, levy fifty percent additional customs duty on the amount of such shortfall, or if the goods are not liable to customs duty but only to agricultural reform fee or excise duty, levy fifty percent additional agricultural reform fee or excise duty and clear such goods, or

(b) Omitted by Finance Act, 2018 purchase or cause to purchase such goods by paying the importer the amount resulting from adding five percent of the declared value.

(16) When fixing the customs value of goods under this Section, it shall generally be in foreign currency. If the valuation of goods on which duty is payable, in the case of import, is in foreign currency, conversion into Nepalese rupees shall be made Amended by Finance Act, 2018.on the basis of the selling rate of foreign currency fixed by Nepal Rastra Bank on the day the declaration form for such goods is registered at the Customs Office or received at the Customs Office through the computer system. In the case of foreign currency for which the exchange rate is not fixed by Nepal Rastra Bank, conversion shall be made on the basis of the selling rate of the US Dollar resulting from converting such foreign currency into US Dollars. Provided that, in converting the customs value of goods previously imported under diplomatic privilege, concession facility or full or partial duty exemption and later duty payable, into Nepalese rupees, conversion shall be made on the basis of the selling rate of foreign currency fixed by Nepal Rastra Bank on the day the remaining duty is paid.

Added by Finance Act, 2018.(17) Notwithstanding anything contained elsewhere in this Section, if the method or procedure mentioned in this Section is not suitable while the Customs Officer determines the customs value under this Section, or if there is reasonable cause to believe that the value is suspicious, the Director General may order to re-determine the value of such goods under this Section.

(18) Upon receiving an order under sub-section (17), the Customs Officer shall, after making necessary inquiry, re-determine the customs value within thirty days and inform the Director General.

(19) While giving an order under sub-section (17), the Director General shall do so within ninety days from the date of clearance of such goods.

(20) If a Customs Officer suspects that any importer has imported goods by over-invoicing, he/she may forward the matter to the concerned body for necessary investigation and action under the prevailing federal law. 14. Power to Determine Provisional Customs Value: (1) Notwithstanding anything contained elsewhere in this Act, in the following circumstances, the Customs Officer may determine a reasonable provisional customs value of imported goods subject to Section 13:-

(a) if the importer submits an application stating a reasonable cause that the documents and other information required for the valuation of the goods cannot be made available immediately,

(b) if the customs value can or shall be determined only after laboratory testing or other inspection of the goods, or if further inquiry appears necessary regarding the documents and information provided by the importer.

(2) After the provisional customs value is determined under sub-section (1), if the importer wishes to take delivery of the goods by depositing the duty payable on such goods as security, the Customs Officer shall clear such goods.

(3) Within thirty days from the date of provisional valuation under sub-section (1), the Customs Officer shall determine the customs value of such goods under Section 13.

(4) If the customs value determined under sub-section (3) is more than the provisional customs value determined under sub-section (1), the Customs Office shall recover the duty on the increased amount from such importer, and if it is less, the excess duty collected shall be refunded to him/her. 15.

Power to Fix Estimated Amount of Freight, Insurance or Other Related Expenses: (1) If an importer is unable to immediately submit documents of freight, insurance or other related expenses incurred in importing goods due to circumstances beyond his/her control, he/she may submit an application to the Customs Officer stating the reason therefor, requesting to fix the estimated amount of such freight, insurance or other related expenses. (2) If, upon inquiry into the application under sub-section (1), the reason appears reasonable, the Customs Officer may fix the estimated amount for freight, insurance or other related expenses that may be included in the transaction value of such goods. (3) Within ninety days from the date the estimated amount of freight, insurance or other related expenses is fixed under sub-section (2), the concerned importer shall submit documents and evidence relating to the actual freight, insurance and other related expenses of such goods. If the amount mentioned in the documents and evidence so submitted is more than the estimated amount fixed under sub-section (2), he/she shall pay the duty on such excess amount, and if it is less, the Customs Office shall refund the remaining amount to him/her after deducting the duty payable. (4) If the concerned importer fails to submit evidence documents within the period under sub-section (3) or if not otherwise proven, the estimated amount fixed by the Customs Officer under sub-section (2) shall be deemed the final amount for such freight, insurance and other related expenses. 16. **Determination of Customs Value of Goods to be Exported:** (1) The invoice value declared by the exporter shall be the customs value of the goods to be exported. (2) Notwithstanding anything contained in sub-section (1), if the Government of Nepal deems necessary, it may, by notification published in the Nepal Gazette, determine a separate customs value for any specific type of goods to be exported. Where such separate customs value is determined, the customs value of such goods shall be the higher of the invoice value declared by the exporter and the customs value so determined by the Government of Nepal. (3) Omitted by Finance Act, 2018 (4) When fixing the value of goods under this Section, it shall be in foreign currency. In converting such foreign currency into Nepalese rupees, conversion shall be made Amended by Finance Act, 2018. on the basis of the buying rate of foreign currency fixed by Nepal Rastra Bank on the day the declaration form for such goods is registered at the Customs Office or received at the Customs Office through the computer system. Chapter-6 Provisions Relating to Declaration Form, Inspection and Clearance 17.

Information to be Submitted: The driver of a vehicle transporting goods to be exported or imported shall, before such vehicle enters the Customs Office, submit to the Customs Office the prescribed details of the goods in such vehicle. 18. **Declaration Form to be Filled and Submitted:** (1) A person exporting or importing goods shall, attaching the prescribed documents, fill in a declaration form and submit it to the Customs Officer of the concerned area. Provided that, it shall not be necessary for a passenger going out of Nepal or coming into Nepal from a foreign country to fill in a declaration form for personal use goods allowed to be brought and taken that are specified by the Government of Nepal by notification published in the Nepal Gazette as not liable to customs duty. (2) If any document under sub-section (1) cannot be submitted with the declaration form due to circumstances beyond control or any other reasonable cause, the concerned person may submit an application to the Customs Officer requesting permission to submit such document later, stating such circumstances or cause. (3) If, upon inquiry into the application submitted under sub-section (2), such circumstances or cause appears reasonable, the concerned Customs Officer may fix a time limit for submitting such document. (4) While fixing the time limit for submitting documents under sub-section (3), the Customs Officer may impose any condition or demand a reasonable deposit as security. Added by Finance Act, 2018. (5) Notwithstanding anything contained in sub-section (1), a person exporting or importing goods

may send the details of goods through electronic means in the format of the declaration form via computer system to the Customs Office. (6) Where the declaration form is sent through electronic means under sub-section (5), the exporter or importer shall submit or transmit the documents under sub-section (1) physically or in electronic form to the Customs Officer. Added by Finance Act, 2021.(7) While filling in and submitting the declaration form for imported goods under this Section, the declaration shall be made by mentioning, according to the nature of the goods, the brand, model, size, dimension, unit, manufacturer company and other such details identifying the goods. 19. Examination of Declaration Form: (1) After the declaration form is submitted under Section 18, the concerned Customs Officer shall examine whether the goods declared in such form are goods allowed to be imported or exported under the law.

While making such examination, the Customs Officer may, as required, physically inspect the concerned goods or cause them to be inspected. (2) If, upon examination under sub-section (1), such goods are found to be non-exportable or non-importable or restricted, the matter shall be forwarded to the concerned body or authority for investigation or action under the prevailing law. 20. Inspection of Goods: (1) If, upon examination under Section 19, the concerned goods appear to be allowed for export or import, the Customs Officer shall inspect such goods under Chapter-7. Amended by Finance Act, 2018.(2) Notwithstanding anything contained in sub-section (1), the Customs Officer may, according to the selection system, clear goods by adopting any of the following procedures:- (a) Clear based solely on the declaration without inspecting the goods or related documents, (b) Clear after inspecting only the related documents without inspecting the goods, (c) Clear based solely on the declaration to carry out a post-clearance audit without inspecting the goods or related documents, (d) Clear after fully inspecting both the goods and related documents. Explanation: For the purpose of this Section, "selection system" means the system determined in the directive issued by the Department for clearing goods based on risk classification, considering risks determined on the basis of revenue security, social security, public health security, environmental security, nature of goods, country of origin of goods, country from which goods are consigned, credibility of supplier, importer or customs agent, etc. 21. Valuation Required: After inspecting the goods or documents under Section 20, the Customs Officer shall determine the customs value of imported goods under Section 13 and of exported goods under Section 16. Amended by Finance Act, 2018.Amended by Customs Tariff Act, 2024.22. Classification and Duty Determination of Goods: (1) After the customs value is determined under Section 21, the Customs Officer shall examine whether the declared goods are classified under Amended by Customs Tariff Act, 2024.the Customs Tariff Act, 2024.

While making such examination, the Customs Officer shall also ascertain, based on the matters mentioned in sub-section (3) of Section 61a, whether the classification is correct or not. (2) If, upon examining the classification of goods under sub-section (1), it is found correct, the Customs Officer shall determine the duty payable on such goods. (3) If, upon examining under sub-section (1), the classification of goods is found incorrect, the Customs Officer shall inform the declarant, amend the classification sub-heading and determine the duty payable accordingly. (4) An importer not satisfied with the amendment made by the Customs Officer under sub-section (3) may submit an application to the Director General for review under Section 61a. Before submitting such application, the duty determined by the Customs Officer shall be paid and the goods taken delivery of. (5) When paying duty under sub-section (4), the importer may submit an application to the Customs Officer to deposit the duty fully or partially as security, subject to the final decision on goods classification. If such application is submitted, the Customs Officer may clear the goods by keeping the security accordingly. (6) If the Customs Officer is in doubt to ascertain the classification of goods under sub-section (1), he/she shall forward the matter, along with the reason for doubt, his/her opinion, and a sample of the goods, to the Director General for a decision. (7) Upon receiving a written communication

under sub-section (6), the Director General shall decide the classification sub-heading and inform the Customs Officer thereof. The Customs Officer shall also classify and determine the duty on the goods accordingly and clear them. 23. Clearance of Goods: The Customs Officer shall clear goods only after taking the duty determined under Section 22, except where exemption or facility is given under the prevailing law such that duty is not payable. Added by Finance Act, 2018.23a. Power to Adopt Centralized Clearance System: Notwithstanding anything contained elsewhere in this Chapter, the Department may make necessary arrangements to clear goods declared at a Customs Office as prescribed. 24.

Duty Determination Before Arrival of Goods at Customs Office: (1) If any importer wishes to pay duty on goods to be imported before such goods arrive at the concerned Customs Office, he/she may submit an application to the Customs Officer, attaching the documents under Section 18 relating to such goods and filling in a declaration form. (2) If, upon inquiry into the application received under sub-section (1), it appears reasonable to take duty, the Customs Officer may determine the duty under Section 22. The duty so determined shall be paid by the importer to the Customs Office. (3) If the duty rate or the exchange rate of convertible foreign currency on the day of duty payment and on the day of goods clearance differ, the rate prevailing on the day of goods clearance shall apply. (4) After the goods for which duty has been paid under sub-section (2) arrive at the Customs Office, such Office shall complete the necessary procedure for such goods on a priority basis and clear them. 25. Export or Import Permissible: (1) The goods to be exported or imported may be exported or imported only after the exporter or importer or his/her customs agent has received the declaration form or receipt showing payment of duty under Section 23, and in the case of goods mentioned in the proviso to sub-section (1) of Section 18, only after the Customs Officer has given permission to take them out after inspecting or causing inspection. (2) If any person exports software through electronic means, such software shall be deemed to be exported only after the Nepal Rastra Bank certifies it on the basis of the export agreement, invoice and evidence of payment received from the concerned importer. 26. Power to Demand Certificate, Evidence or Receipt: (1) If there is reasonable cause to believe that any person has imported or is about to export any goods and has not paid customs duty, or if it is known that customs duty has not been paid, any employee of the Customs Office may demand from such person the evidence of payment of customs duty on such goods, or if no customs duty is leviable, a certificate to that effect. (2) The person shall show the evidence or certificate demanded under sub-section (1) to such employee.

If such person fails to submit such evidence or certificate, or if the goods appearing in the certificate submitted are different from the goods actually seen, such employee shall present such goods and the person before the Customs Officer.

(3) Upon presentation under sub-section (2), the Customs Officer may order to seize such goods and shall take action against the person presented for the offence of smuggling export or import. 27. Format of Declaration Form: The format of the declaration form shall be as prescribed. Chapter-7

Provisions Relating to Inspection of Goods

28. Power to Open and Inspect Bales or Packages: (1) The Customs Officer may open and inspect any bale or package of any goods to be exported or imported, one by one, or by random sampling, or by a certain percentage only, or may order any subordinate employee to open and inspect in such manner.

(2) While inspecting under sub-section (1), live animals, perishable goods and other goods deemed necessary by the Customs Officer shall be inspected first.

(3) If the Customs Officer or his/her subordinate employee opens and inspects bales or packages of goods under sub-section (1), a clear description of the method and details of inspection shall be mentioned in the declaration form.

(4) If there is any doubt regarding a bale or package that has or has not been inspected under this Section, or if any information is received in relation thereto, the Customs Officer may order his/her subordinate employee to inspect such bale or package if not already inspected, or to re-inspect if already inspected.

(5) If the exporter or importer wishes to have the goods inspected in his/her presence, he/she shall give written notice thereof to the Customs Officer. Upon such notice, the Customs Officer may inspect or cause inspection of the goods in the presence of such exporter or importer.

Provided that, if he/she is not present at the time appointed by the Customs Officer, there shall be no bar to inspect the goods in his/her absence. (6) The Customs Officer may, while inspecting or causing inspection of goods under this Section, inspect or cause inspection only after recovering the duty leviable based on the declaration made by the importer. (7) If, during inspection under sub-section (6), the goods are found different from the details mentioned in the declaration or documents attached with the declaration form made by the exporter or importer or his/her agent, and if duty has already been recovered before inspection of such goods, the importer shall not be entitled to a refund or adjustment of such duty against the duty payable. (8) Before the goods once cleared are taken out of the customs area by the exporter or importer, or after they have been taken outside the customs area, any officer/employee deployed by the Director General or the Customs Officer of the concerned Customs Office may re-inspect fully or partially. While making such inspection, the Director General or the Customs Officer shall inform the concerned Amended by Finance Act, 2018.exporter or importer of the reason therefor. 29. Deemed to be Inspected: When bales or packages are inspected under Section 28, if the goods in such bale or package are as per the bill, invoice, other documents or details submitted, the goods in other bales or packages not inspected shall also be deemed to have been inspected. Amended by Finance Act, 2018.30.

Collection and Testing of Samples of Goods: (1) If it appears necessary to test samples of imported food or beverages or any other goods for quality testing, customs valuation, classification, or from the perspective of impact on public health or environment, or to have them tested by a concerned expert or examined by a laboratory, the Customs Officer may, in the presence of the owner of such goods or his/her agent, take a sample and himself/herself inspect, have it inspected by a concerned expert, or have it tested by the laboratory of the Department or Customs Office or by a laboratory of another government body. (2) The laboratory of the Department or of another government body receiving a sample of goods for testing under sub-section (1) shall test it as soon as possible and send the result to the concerned Customs Office. (3) If the laboratory of the Department cannot itself test samples received from the Customs Office for testing under sub-section (1), it shall have the test done by another laboratory of a government body and send its report to the concerned Customs Office. (4) If, upon testing under sub-section (1), such goods are found to cause harm or adverse effect to health or the environment, the Customs Officer shall order the concerned importer to return such goods to the concerned exporter in a foreign country as prescribed. Provided that, before giving such order, the Customs Officer may require the importer to submit evidence that the foreign currency paid for such goods has been brought back, or to submit a bond to bring back such foreign currency. (5) If the concerned importer does not return such goods as per the order given under sub-section (4), the Customs Officer may confiscate such goods and cause them to be decomposed or destroyed as prescribed, and the cost incurred or to be incurred for such decomposition or destruction shall be recovered from the concerned importer. 31.

Power to Inspect Goods at Relevant Place: (1) Any exporter may submit an application to the Customs Officer requesting to inspect the goods to be exported by him/her at the place of production or warehouse. (2) If it appears reasonable to inspect the goods as per the application received under sub-section (1), the Customs Officer may, upon collecting the prescribed fee, himself/herself go to such place of production or warehouse or send a subordinate employee to inspect or cause inspection of the goods. (3) (16) An exporter or importer who fails to appear within the period of the notice issued pursuant to sub-section (15) or fails to submit the required deed, evidence, or document, may be penalized by the Director General or the Customs Inspector pursuant to sub-section (15A) of Section 57, and his import or export transactions may be suspended, and examination may be conducted based on the available deed, evidence, or document. (17) After examination pursuant to sub-section (16), if additional evidence or documents are subsequently received concerning such exporter or importer, re-examination may be conducted pursuant to this section based on such evidence or documents. (18) Examination under this section may be conducted within two years from the date of the clearance of the goods. Provided that, if it is proven that any exporter or importer has prepared false deeds or documents and deposited less customs duty than payable under the prevailing law, the Customs Inspector, with the permission of the Director General, may conduct an examination even after two years. (19) The notice, period, notice to submit a defense, or order to deposit customs duty and penalty given by the Director General or the Customs Inspector to the exporter or importer under this section may be sent through the email address of the concerned person. A notice, information, or order sent to such email address shall be deemed to have been received by him. 35. Goods and person to be produced before the Customs Officer: If a customs office employee or any official deployed by the Director General finds that any person has exported or imported goods through a route other than that prescribed under Section 3, or by theft or evasion, or is about to do so, such person shall arrest such goods and the person carrying such goods as well as the vehicle and produce them before the Customs Officer. The Customs Officer shall initiate proceedings against the goods, person, and vehicle so produced for the offense of smuggling export or smuggling import. 36.

Search if suspected or upon grounds: If there is reasonable basis or cause to believe, or if there is suspicion, that any person has brought goods liable to customs duty without paying customs duty or by smuggling import, or is taking them out by smuggling export, or has exported or imported or is about to export or import prohibited goods, any employee of the customs office may detain such person or any means of transport and conduct a search of such person or such vehicle. 37. Person to be searched may request to be produced before Customs Officer before search: (1) If an employee other than the Customs Officer or the employee designated for that purpose intends to conduct a search under Section 36, the concerned person may request to be produced before the Customs Officer before such search is conducted. (2) Upon a request to be produced before the Customs Officer pursuant to sub-section (1), the employee of the concerned customs office shall, without any delay, produce him before the Customs Officer. (3) If upon the production of a person under sub-section (2), reasonable grounds for searching him are seen, the Customs Officer shall conduct the search himself or have it conducted by a subordinate employee, and if no such grounds are seen, he shall immediately release him. 38. Deemed to have committed smuggling import or smuggling export: If, during a search under Section 36 or 39, goods liable to customs duty or goods required to be imported or exported after declaration under this Act are recovered, the Customs Officer shall order the searched person to produce the declaration form for such goods and, if it is goods liable to customs duty, the receipt of payment of duty. If he fails to produce such declaration or receipt, it shall be deemed that smuggling import or smuggling export has been committed. 39.

Search of house, building, warehouse or place: (1) If there is reasonable cause to believe or suspect that any

person has hidden or kept goods brought by evading customs duty or by smuggling import in any house, building, warehouse or any other place, the Director General or the concerned Customs Officer may, by a decision stating the reasons, order to conduct or have conducted a search of such house, building, warehouse or place. (2) The employee who receives the order under sub-section (1) shall, before conducting the search of such house, building, warehouse or place, inform the owner of such house, building, warehouse or place or the person currently residing there of the reason for conducting such search. If such owner or person refuses to receive such notice, a copy of such notice shall be affixed in a conspicuous place of such house, building, warehouse or place, and after such affixation, the concerned owner or person shall be deemed to have duly received the notice of search. (3) After giving notice to the concerned owner or person pursuant to sub-section (2), he shall allow the employee deployed for the search to search such house, building, warehouse or place. (4) If any person obstructs or opposes the search under sub-sections (2) and (3), the employee deployed for the search shall give notice and opportunity to the persons residing in the house, building, warehouse or any other place to be searched to vacate. If such persons do not vacate despite such notice and opportunity, such employee may, with the assistance of the security agency and using necessary force, break open or break the outer or inner doors, windows, or locks of the house, building, warehouse or place to be searched and conduct the search at any time between sunrise and sunset. (5) When conducting a search under this section, the employee conducting the search shall, as far as possible, conduct the search in the presence of the ward chairperson or ward member of the concerned rural municipality or municipality, or an employee of any office, or the house owner or his representative, or any person who has attained the age of sixteen years as a witness.

If no such person is found to act as a witness, or if such person refuses to act as a witness, the employee conducting the search shall sign and seal a remark to that effect.

(6) If goods brought by evading customs or smuggling import are recovered during a search under this section, the employee conducting such search shall take such goods into his possession, prepare a detailed list of such goods, and immediately deliver one copy of such list to the concerned person of the house, building, warehouse or place searched. If the concerned person refuses to receive it or if it cannot be delivered, a minute shall be prepared in the presence of two witnesses and affixed. Such affixation shall be deemed equivalent to delivery to the concerned person.

(7) The goods and the list under sub-section (6) shall be submitted by such employee to the concerned Customs Officer, and after such submission, the Customs Officer shall proceed under this Act. 40. Power to arrest: (1) If, during a search under Section 36 or 39, it appears that any person has committed an offense under this Act, an application shall be submitted to the adjudicating officer for permission to arrest, along with details identifying such person.

(2) If the reason for arrest appears reasonable from the application under sub-section (1), the adjudicating officer may grant permission to issue an arrest warrant.

(3) A person for whom an arrest warrant has been issued under sub-section (2) shall be arrested and produced before the adjudicating officer within twenty-four hours, excluding the travel time.

(4) Notwithstanding anything contained in sub-section (1), if there is a reasonable reason that the offender will abscond, escape, or destroy evidence or proof, or if a person absconding in connection with the offense is found, or if found while committing the offense, the Customs Officer or other employee of the customs office authorized by him may arrest or cause to arrest such person at any place. 41.

May be released on cash bail or kept in custody: (1) If, based on the evidence immediately available, the person produced under sub-section (3) of Section 40 appears guilty, the Customs Officer may release him on cash bail equivalent to the amount of the possible imprisonment and penalty, and the amount of the possible assessed loss under this Act, along with a fixed time and place to appear. (2) A person who cannot provide the cash bail demanded under sub-section (1) shall be kept in custody until such cash bail is deposited at the customs office. (3) Notwithstanding anything contained in sub-section (1), if, when releasing such person on cash bail, grounds are seen that he may destroy evidence, the Customs Officer may, stating reasons, keep such person detained and proceed with the action. (4) Notwithstanding anything contained in sub-section (2) or (3), when keeping such person in custody, he shall not be kept in custody for longer than the maximum term of imprisonment possible under this Act. (5) When taking bail in lieu of punishment under sub-section (1), it shall be taken at the rate of three hundred rupees for each day of imprisonment. 42. Absconding person may be arrested later: If the person committing any act deemed an offense under this Act cannot be arrested at the time of the offense, or if arrested but absconds, the Customs Officer, or an employee authorized by him, or an employee deployed for that purpose, may arrest him at any time. The person so arrested shall be proceeded against as if arrested at the time of the offense. 43.

Maximum force may be used: (1) If any person attempts to export or import goods from a place other than the route prescribed under Section 3, the Customs Officer, or an employee of the customs office authorized by him, or an authorized government employee, may stop him. (2) If, while attempting to stop under sub-section (1), he creates a riot or uses force against such officer or employee, the Customs Officer or such employee shall caution and advise him not to do so. (3) If, despite cautioning and advising under sub-section (2), he creates a riot or uses force, the Customs Officer or such employee may arrest him. (4) If, while attempting to arrest under sub-section (3), he uses force or attempts to abscond, and if immediate arrest is not possible, an employee deployed for security at the scene, under the order of such Customs Officer or authorized officer, may first fire into the air to stop such incident for self-defense and performance of duty, and if the situation is not controlled even then, or if the person creating the riot also has weapons, may fire in a manner causing minimal damage. (5) A customs office employee may order to stop or cause to stop a vehicle of any person traveling by vehicle via the route prescribed under Section 3. If such an order is disobeyed and such person attempts to flee or flees by creating a riot or using force without allowing inspection of the vehicle, an employee deployed for security at the customs, under the order of the Customs Officer, may fire at the wheels of such vehicle in a manner causing minimal damage. (6) If it becomes necessary to fire under sub-sections (4) and (5), the Customs Officer or authorized officer shall, by the fastest means, inform the Director General and the concerned Chief District Officer. Chapter-9 Provisions relating to Seizure, Confiscation and Auction Sale of Goods 44. Power to seize goods liable to confiscation: If goods liable to confiscation under this Act are seen or discovered, the Customs Officer, or an employee of the customs office authorized by him, or an employee authorized by the Government of Nepal, may seize such goods at any place and at any time. 45. Receipt for seizure to be given: The person seizing goods under Section 44 shall give a receipt to the concerned owner of the goods, stating the reason for such seizure and including a detailed list of the seized goods, within a maximum of three days of the seizure. 46.

Goods to be handed over: (1) Goods seized under Section 44 by any employee of the customs office or other agency and one copy of the list under Section 45 shall be submitted to the Customs Officer as soon as possible. (2) After the goods are deposited under sub-section (1), the Customs Officer shall inquire whether such goods need to be seized under this Act or not. If, upon such inquiry, it appears that such goods were seized without cause or did not need to be seized, he shall immediately return such goods to their owner. (3) If, upon inquiry under sub-section (2), it appears that the goods are liable to confiscation, the Customs Officer

shall initiate proceedings under this Act in respect of such goods. 47. Confiscated goods and goods not cleared from customs belong to Government of Nepal: (1) Goods confiscated under this Act shall belong to the Government of Nepal. (2) The owner of goods lying in customs shall clear them within the prescribed period. (3) For goods not cleared within the period under sub-section (2), the concerned customs office shall publish a public notice of fifteen days. (4) If, after the publication of the notice under sub-section (3), the owner of the concerned goods submits an application to the customs office with reasonable cause for not being able to clear the goods within the period of sub-section (2), and if such cause appears reasonable, the Customs Officer may, upon collecting the applicable customs duty, permit him to clear such goods. (5) If goods are not cleared from the customs office even after the publication of the notice under sub-section (3), the concerned Customs Officer shall confiscate such goods, and such goods shall belong to the Government of Nepal. 48. Notice of confiscation to be given: When goods are confiscated under this Act, the Customs Officer shall inform the concerned exporter or importer accordingly. 49. Goods liable to confiscation: If a decision is made to confiscate any goods under this Act, the following goods related to such goods shall also be confiscated:- (a) Cargo (parcel, package, or container used for packing or transporting goods, excluding containers transported by rail), (b) All types of vehicles, including rickshaws, carts, animals, but excluding trains and aircraft, used for transporting the goods, (c) Clothes, furniture, electrical appliances, and other materials kept in the vehicle under clause (b). 50.

Power to sell by auction: (1) Goods confiscated under this Act may be sold by auction as prescribed by the concerned Customs Officer, except those used by the Government of Nepal itself. (2) Notwithstanding anything contained in sub-section (1), the auction sale or other arrangement for gold, silver, precious stones, or goods that can only be sold with a license under the prevailing law, or precious minerals, that have been confiscated and not cleared from the customs office and have come into the ownership of the Government of Nepal, shall be as prescribed. (3) If seized goods under this Act are perishable, decaying, becoming outdated with decreasing value, or cannot be stored due to lack of warehouse or space, or if they are live animals, the Customs Officer may immediately auction such goods as prescribed. (4) The amount received from the auction sale under sub-section (3) shall be credited by the customs office to a deposit account. (5) If it is later determined that the goods sold by auction under sub-section (1), (2), or (3) should be returned to the owner, only the amount received from such auction sale shall be returned to him. Provided that, if any tax, fee, or other charges or amounts are applicable to such amount, he shall receive only the remaining amount after deducting such tax, fee, charges, and amount. (6) If a vehicle used for transporting goods of smuggling import or smuggling export submitted to the customs office is not deemed suitable to be kept in that office due to lack of space or inability to preserve it, the concerned Customs Officer may have the value of such vehicle assessed by a prescribed committee and have it sold by auction at such value as prescribed. (7) Notwithstanding anything contained in sub-section (6), the owner of such vehicle may submit an application to clear the vehicle by depositing cash as bail for the amount arrived at after adding the value assessed under sub-section (6) and the tax, fees, etc. applicable under the prevailing law to such value. (8) Upon application under sub-section (7), the Customs Officer may, upon taking such bail amount, return the vehicle to him, and if upon completion of proceedings and adjudication the vehicle is ordered to be confiscated, the customs office may regularize the bail amount deposited by the owner and give the vehicle to the owner itself.

If it is decided that the vehicle is not to be confiscated and the owner is to get it back, the bail amount deposited by him shall be returned as prescribed.

(9) Notwithstanding anything contained elsewhere in this section, if goods cannot be sold by auction under

this Act or cannot be used in any manner, the Customs Officer may cause them to rot, decay, or destroy as prescribed. Chapter-10

Provisions relating to Customs Agent

51. Provision relating to license of Customs Agent: (1) A person wishing to act as a customs agent of an exporter or importer for clearing goods for export or import from the customs office or for work related to the customs office shall obtain a license of a customs agent from the Department.

(2) Arrangements relating to the license of a customs agent shall be as prescribed. 52. Power to appoint customs agent: If any exporter or importer wishes to clear goods for export or import through a customs agent instead of doing it himself, or wishes to have any work related to the customs office done through a customs agent instead of doing it himself, he may appoint a customs agent as prescribed. 53. Customs agent deemed to be owner of goods: If the owner of any goods appoints any person as his customs agent for clearing such goods from the customs office or for doing other work under this Act and the rules made under this Act, such customs agent shall be deemed to be the owner of such goods for that purpose. 53A. Duties of customs agent: The duties of a customs agent appointed under this Act for clearing goods from the customs office or doing other work related to the customs office shall be as follows:-

- (a) To fully comply with the customs law,
- (b) To provide necessary assistance to the customs office to simplify the customs clearance procedure,
- (c) To provide necessary assistance to the customs office in the work of collecting duty,
- (d) Not to do any act that may cause obstruction or hindrance to the work and proceedings of the customs office,
- (e) If the Customs Officer gives a written notice to produce the exporter or importer who appointed him before him, to deliver such notice to the concerned exporter or importer. 54. Customs agent to be liable: If a customs agent appointed under Section 52 causes any loss or damage to the owner of the goods by doing any act contrary to this Act or the rules made under this Act, he shall pay the amount equal to such loss to the owner of such goods as prescribed. 55.

License may be suspended and cancelled: (1) A customs agent who has been penalized under Section 59 or who does any act contrary to this Act or the rules made under this Act, or who fails to perform his duty, may be suspended by the Customs Officer for a period from one month to six months. (2) If a customs agent commits the act under sub-section (1) for the third time, or if it is found that he obtained the license by submitting fake educational qualification certificates or other false documents or details, the Customs Officer shall cancel his license. (3) Before suspending under sub-section (1) or canceling the license under sub-section (2), the concerned Customs Officer shall give such customs agent an opportunity to submit a defense. (4) If suspended under sub-section (1) or (5), he shall not do any customs related work during such suspension period, and a customs agent whose license has been canceled under sub-section (2) or (6) shall not be eligible to obtain a license of a customs agent again. (5) If a criminal offense case is filed in a court against a customs agent under the prevailing law, he shall be automatically suspended from the date of filing the case. (6) If a customs agent is proven guilty of any criminal charge by a court, his license shall be automatically cancelled. 56. Power to file application: If the Customs Officer makes a decision to suspend or cancel the license of a customs agent under Section 55 or to penalize him, the customs agent aggrieved by such decision may file an application before the Director General within thirty-five days from the date of such decision. The Director General shall, as a general rule, decide upon such application within thirty days, and such decision shall be final. Chapter-11 Penalties 57. Penalties: (1) If anyone exports or imports any goods by smuggling, or attempts to do so, or exports or imports from a place other than the route prescribed under

Section 3 where export or import is allowed only through a specific route, or attempts to do so, he shall be deemed to have committed an offense under this Act. (1A) If the loss amount of the offense under sub-section (1) is up to ten lakh rupees, the Customs Officer may confiscate such goods and impose a penalty according to the loss amount of the goods. (1B) If a vehicle used for transporting goods liable to confiscation under sub-section (1A) was used with the consent or knowledge of the owner of such vehicle, the Customs Officer may confiscate such vehicle and impose a penalty of up to one lakh rupees on such owner.

If the driver has knowingly transported such goods without the consent or knowledge of the vehicle owner, the Customs Officer may impose a penalty of up to fifty thousand rupees on such driver.

(1C) If the loss amount of the offense under sub-section (1) is from ten lakh rupees to one crore rupees, such goods shall be confiscated, and there shall be a penalty according to the loss amount of the goods and imprisonment as follows:-

- (a) For loss exceeding ten lakh rupees up to twenty-five lakh rupees, up to one month,
- (b) For loss exceeding twenty-five lakh rupees up to fifty lakh rupees, from one month to three months,
- (c) For loss exceeding fifty lakh rupees up to one crore rupees, from three months to one year.

(1D) If the loss amount of the offense under sub-section (1) exceeds one crore rupees, such goods shall be confiscated, and there shall be a penalty according to the loss amount of the goods and imprisonment as follows:-

- (a) For loss exceeding one crore rupees up to three crore rupees, from one year to three years,
- (b) For loss exceeding three crore rupees, from three years to five years.

(2) If a vehicle used for transporting goods liable to confiscation under sub-section (1C) or (1D) was used with the consent or knowledge of the owner of such vehicle, the concerned Customs Officer or District Court may confiscate such vehicle and imprison the owner for up to one year. If the driver has knowingly used such vehicle to transport such goods without the consent or knowledge of the vehicle owner, the concerned Customs Officer or District Court may impose a penalty of up to five thousand rupees or imprisonment for up to one year or both.

(3) A person who assists or abets in the commission of an offense under sub-section (1) may be punished by the concerned Customs Officer or District Court with the same punishment as the offender.

(4) If anyone hides or knowingly keeps goods of smuggling export or smuggling import, the Customs Officer may confiscate such goods and impose a penalty of up to ten thousand rupees on him.

(5) If any exporter, importer, or customs agent declares a quantity less than the actual quantity of the goods, even if the name, nature, physical characteristics, traits, measurement, size, and quality are correct, the Customs Officer may impose a penalty of one hundred percent of the value of the goods so under-declared and collect the applicable customs duty and clear such goods.

(6) If any exporter, importer, or customs agent declares a different country of origin, even if the name, nature, physical characteristics, traits, measure

ment, size, quality, and quantity of the goods are correct, the Customs Officer may impose a penalty of twenty-five percent of the applicable customs duty on such goods and collect the applicable customs duty and clear such goods.

(7) If any exporter or customs agent declares a quantity more than the actual quantity of the goods to be

exported, the Customs Officer may impose a penalty of two hundred percent of the value of the goods so over-declared and clear the goods after mentioning this fact in the declaration form.

(8) If any exporter or customs agent declares all or any details different among the name, nature, physical characteristics, traits, measurement, size, and quality of the goods, the Customs Officer may confiscate such goods and impose a penalty on the owner according to the loss amount.

(9) If an importer or customs agent declares one good as another, or declares a good made from one type of material as made from another type, or declares all or any of the nature, physical characteristics, traits, measurement, size, and quality of the goods differently, or does not declare any goods at all, the Customs Officer may impose a penalty equal to the value of such goods on the owner and confiscate the goods, or may collect a penalty of two hundred percent of the value of such goods and the applicable customs duty from him and clear such goods.

(10) If anyone causes or attempts to cause loss of duty or revenue by submitting fraudulent, forged, or fake documents to the customs office, the Customs Officer may impose a penalty of two hundred percent of the amount of duty or revenue so lost or attempted to be lost, or imprisonment from six months to one year, or both, and for forgery of government documents, he shall forward the matter to the concerned body or officer for action under the prevailing law.

(11) If any owner of goods or his agent opens any customs warehouse or the goods in such warehouse in any manner with the intention of stealing the goods or causing loss to such goods, the Customs Officer may impose a penalty of up to five thousand rupees on him.

(12) If anyone removes or takes away goods kept in a customs warehouse from the warehouse without the approval of the customs office, the Customs Officer may impose a penalty according to the loss amount and imprisonment for up to six months, or both.

(13) If anyone knowingly writes, sign

s, or uses a false particular in a declaration form or document used in the performance of the customs office, or forges, alters, or destroys a document, seal, stamp, signature, or any other mark or sign signed or stamped by the Customs Officer in the performance of the customs office, the Customs Officer may impose a penalty of up to five thousand rupees and imprisonment for up to one year, or both, and for forgery of government documents, he shall forward the matter to the concerned body or officer for action under the prevailing law.

(14) If an employee or person in charge of goods kept in a customs warehouse loses such goods carelessly or causes loss knowingly, the Customs Officer may recover the value of such goods and the applicable customs duty from him and impose a penalty of up to five thousand rupees on him.

(15) If an unauthorized employee removes or orders to remove goods kept in a customs warehouse, the Customs Officer may impose a penalty of up to five thousand rupees or imprisonment for up to one year, or both.

(15A) The Director General or the Customs Inspector may impose a fine of ten thousand rupees per instance on an exporter or importer who fails to provide the accounts, tax returns, invoices, and documents requested for the purpose of examination under Section 34 within the specified time.

(16) If, during a review under Section 70, it is found that the customs duty difference occurred due to the

submission of fake bills, invoices, or documents by the owner of the goods, the Customs Officer may impose a penalty of two hundred percent of the loss amount of the goods cleared from the customs office, or imprisonment for up to one year, or both.

(17) If anyone does any act contrary to this Act or the rules made under this Act, other than those specified in this section, the Customs Officer may impose a penalty of up to five thousand rupees on him.

(18) Notwithstanding anything contained elsewhere in this section, if the following offenses are committed, in addition to the penalties and customs duty mentioned elsewhere in this section, a penalty of three hundred percent of the value of such goods shall be collected and the goods released, or such goods shall be confiscated and a penalty of two hundred percent of the value of such goods imposed:-

(1) If, upon re-inspection by an authorized officer before the importer takes away the goods

cleared under clauses (a), (b) or (c) of sub-section (2) of Section 20 from the customs area, or after taking them outside the customs area, a difference is found in the name, nature, physical characteristics, traits, measurement, size, quality, and quantity of the goods from what was declared by the importer,

(2) If the Global Positioning System (GPS) fitted lock affixed to the container for internal transport under Section 89Ch. and the seal with sequential number affixed at the place of dispatch of the goods are not intact.

(18A) Except for circumstances beyond control, if the road route prescribed for internal transport under Section 89Ch. is not used or if the designated customs office is not reached within the prescribed time limit, a fine of fifty thousand rupees to one lakh rupees shall be imposed.

(19) The Department may suspend the transactions of an importer who has been punished under sub-section (18) so that he cannot engage in further export and import related work.

(20) If any person is found to have used or sold goods imported under full or partial customs duty exemption or facility under this Act or other prevailing Acts, contrary to the purpose for which they were imported, or if a person not entitled to the exemption or facility imports goods under partial customs duty exemption or facility, the Customs Officer or Customs Inspector may impose a penalty of one hundred percent of the customs value of such goods. 57A. Adjudicating officer: The case under sub-sections (1A), (1B), and (1C) of Section 57 shall be initiated and adjudicated by the Customs Officer, and the case under sub-section (1D) shall be initiated and adjudicated by the District Court. 58. Penalty for obstructing: If any person knowingly obstructs or hinders a Customs Officer or an employee of the customs office from exercising the power given by this Act and the rules made under this Act, the Customs Officer may, if such person is a government employee, impose a penalty of up to five thousand rupees or imprisonment for up to one year or both, and if another person, impose imprisonment for up to six months or a fine of up to one thousand rupees or both. 59.

Penalty for customs agent: (1) A customs agent who commits an act under sub-sections (5), (6), (7), (8), and (9) of Section 57 may be subject to a penalty of twenty-five thousand rupees to fifty thousand rupees or imprisonment from one month to six months or both by the Customs Officer. (2) The owner of the goods shall not be deemed to be immune from the punishment or penalty under this section merely because the customs agent has been punished under sub-section (1). 60. Penalty under prevailing law: If any offense or act under this Act is punishable under the prevailing law, this Act shall not be deemed to prevent action and punishment under such law. 60A. Government of Nepal to be plaintiff: In cases under sub-sections (1C) and (1D) of Section 57 of this Act, the Government of Nepal shall be the plaintiff. 60B. Investigation, inquiry, and diary: (1) For the investigation and inquiry of offenses under this Act, the Director General or the head of the customs

office may designate any customs employee as an investigation officer. (2) If, from the evidence immediately available during the course of investigation, the accused person appears guilty, the investigation officer designated under sub-section (1) may demand a cash bail equivalent to the possible imprisonment, penalty amount, and the assessed loss amount from such person. (3) If the cash bail demanded under sub-section (2) is not deposited, the investigation officer may, with the permission of the adjudicating officer, keep the person in custody. (4) The investigation officer shall complete the investigation within twenty-five days from the date of arrest of the person related to the case under the investigation and inquiry, and in the case of offenses punishable under sub-sections (1C) and (1D) of Section 57, file the case before the adjudicating officer after obtaining the opinion of the government attorney. Chapter-12 Provisions relating to Review and Appeal 61.

Provision relating to valuation review committee: (1) A person aggrieved by a decision or order made by the Customs Officer under Section 13 may file an application as prescribed before the Valuation Review Committee constituted under sub-section (2) within thirty days from the date of such decision or order for review. (2) For the purpose of sub-section (1), the Government of Nepal, Ministry of Finance, shall constitute a Valuation Review Committee as follows:- (a) An officer of the civil service of at least gazetted first class with knowledge and experience in revenue administration - Chairperson (b) One person who is a serving officer of at least gazetted second class with at least three years of experience in a gazetted post related to customs administration, or a person retired from such post with similar experience - Member (c) One person who is a serving officer of at least gazetted second class with at least three years of experience in a gazetted post related to international trade - Member (3) The term of office of the Chairperson and Members of the Valuation Review Committee under sub-section (2) shall be three years. (4) Notwithstanding anything contained in sub-section (3), if the Chairperson or a Member of the Valuation Review Committee lacks capacity, or does not behave as befitting their position, or does not work honestly, the Government of Nepal, Ministry of Finance, may remove him from such position at any time after giving him an opportunity to submit a defense. (5) When reviewing under this section, the Valuation Review Committee shall inquire as to whether the customs valuation made by the Customs Officer under Section 13 is correct or not, and may confirm the valuation made by the Customs Officer, annul it, make a valuation of such goods under this Act, or order the Customs Officer to re-valuate. The Valuation Review Committee shall clearly state the reasons and grounds when confirming, annulling, making a valuation, or ordering a re-valuation. (6) Other functions, duties, powers, procedures, and the remuneration and terms of service of the Chairperson and Members of the Valuation Review Committee constituted under sub-section (2) shall be as prescribed. (7) The person filing an application under sub-section (1) shall, before filing such application, deposit as bail at the customs office the customs duty amount applicable according to the valuation made by the Customs Officer under Section 13. (8) When reviewing under sub-section (5), the Valuation Review Committee shall do so in accordance with sub-section (1) of Section 13. 61A.

Provision for review of classification of goods: (1) A person aggrieved by the classification of goods made by the Customs Officer under Section 22 may file an application for review before the Director General within thirty days from the date of clearance of such goods. (2) Along with the application under sub-section (1), a sample of such goods and necessary documents substantiating the content of the application shall be submitted. (3) When reviewing the decision on classification of goods under this section or deciding under sub-section (7) of Section 22, the Director General may base the decision on the prevailing Finance Act, the Harmonized Commodity Description and Coding System propounded by the World Customs Organization, the rules of interpretation of such system, explanatory notes, decisions on classification made by the World Customs Organization, and opinions given by the Harmonized System Committee of the World Customs

Organization. (4) Before making a decision on the classification of any goods, the Director General may have a test conducted by the laboratory of the Department or other government agency and obtain the opinion of an expert, or obtain the opinion of an expert or a national or international body concerning any goods. (5) The Director General shall decide on the application received under sub-section (1) within sixty days. Provided that this time limit under this sub-section shall not apply in cases where it is necessary to decide after obtaining an opinion from an international body. 62. Appeal: (1) Except for decisions or orders under Section 13, a person aggrieved by the determination of customs duty by the Customs Officer or other employee under this Act, or by an order of punishment or decision made by the Customs Officer, or by an order given by the Director General or Customs Inspector under Section 34 to deposit customs duty or penalty, or by a decision made by the Valuation Review Committee constituted under Section 61, may file an appeal before the Revenue Tribunal within thirty-five days from the date of such determination of customs duty, punishment, or decision. (2) A person filing an appeal under sub-section (1) may file the appeal after paying or depositing as bail the customs duty and penalty amount applicable according to the decision or order against which the appeal is made at the concerned customs office or customs clearance examination office.

Provided that a person in custody who is unable to pay such customs duty and penalty amount may file an appeal without depositing bail.

(2A) When filing an appeal before the Revenue Tribunal under sub-section (1), the undisputed customs duty amount among the determined customs duty shall be paid, and a bail of one hundred percent of the disputed customs duty and penalty amount shall be deposited, or a bank guarantee for such amount shall be provided.

(2B) A bank voucher deposited in the deposit account at the Office of the Comptroller and Auditor General in the name of the concerned office, or a bank guarantee of equivalent amount, shall be submitted along with the appeal petition as per sub-section (2A).

(3) A person filing an appeal under sub-section (1) shall deliver a copy of such appeal to the concerned customs office or customs clearance examination office within seven days of filing the appeal.

(4) If aggrieved by a decision made by the Valuation Review Committee constituted under Section 61, the Customs Officer may file an appeal before the Revenue Tribunal within thirty-five days of such decision.

(5) A person aggrieved by the decision on

(?) If, except in the course of duly performing the duties of one's office in good faith in relation to any goods in accordance with this Act, an officer publishes, for the benefit of oneself or any other person or with intent to cause loss to anyone, any information known or understood by virtue of one's office, or shows or gives to anyone any work or matter of a confidential nature entrusted to one.

(2) An employee concerned may appeal against an order given by the authorized officer under this Act to the authorized officer as per the prevailing Civil Service Act and Rules, and such authorized officer shall settle the appeal in accordance with the same Act and Rules.

(3) While recovering a fine imposed under this section, the authorized officer may apply the prevailing law relating to the recovery of court fines and penalties and recover it accordingly.

(4) Nothing written in this section shall be deemed to prejudice the provisions of the prevailing law under which court proceedings may be instituted against the erring employee. Provided that, after court proceedings have been initiated, proceedings under this section shall not be instituted. 66. Not liable for acts done in good faith: Notwithstanding anything written elsewhere in this Act, no customs officer shall be

personally liable for any act done in good faith in the course of performing his or her duty. 67.

Inspection to be conducted: (1) The Ministry of Finance shall inspect, once a year, the work and actions carried out by the Director General, and the Department shall inspect, once a year, the work and actions carried out by a Customs Officer. (2) While conducting an inspection under sub-section (1), in addition to other matters, it shall be inspected whether the duty on goods exported or imported has been actually recovered, whether post-clearance examination under section 34 has been conducted, whether declaration forms have been reviewed under section 70, whether goods liable to auction have been auctioned in time, whether the amount of revenue exempted has been recovered as soon as possible, and a report thereof shall be submitted to the Council of Ministers if the inspection was conducted by the Ministry, and to the Ministry of Finance if the inspection was conducted by the Department. (3) After receiving the report under sub-section (2), the Council of Ministers may give necessary directions to the Ministry of Finance, and the Ministry of Finance may give necessary directions to the Department. (4) The Ministry of Finance shall monitor whether the direction under sub-section (3) has been complied with or not, and shall also mention the matter relating thereto in the report to be submitted to the Council of Ministers under sub-section (2). Chapter 14 Miscellaneous 68. Application may be made to detain goods being exported or imported in violation of intellectual property rights: (1) If any person is about to import or export any goods in violation of intellectual property rights such as patent, design, trademark, copyright obtained by any person under the prevailing law, the concerned person may submit an application, with evidence, to the concerned Customs Officer to detain such export or import. (2) If an application is made under sub-section (1), the concerned Customs Officer shall detain such goods at the customs office and send a letter to the concerned body or authority for necessary action in this regard. (3) Upon being written to under sub-section (2), such body or authority shall conclude the action in accordance with the prevailing law and inform the customs office. (4) If, while taking action under the prevailing law, the body or authority under sub-section (3) determines that such goods are to be confiscated, the Customs Officer shall hand over such goods to such body or authority. 69.

Compensation for goods detained in customs office or warehouse: (1) Goods kept in a customs office or warehouse shall be kept safely by the customs office or warehouse so that no damage occurs. (2) If goods under sub-section (1) are stolen, lost, or destroyed, damaged, or caused damage due to any reason other than natural calamity or accident or breakage that may naturally occur in the course of storing or handling goods, the owner of such goods shall be entitled to receive compensation for such goods as prescribed from the customs office or the entity operating such warehouse. Provided that, such person shall not be entitled to claim compensation unless his or her right over such goods is established. 70. Review may be conducted: (1) The declaration form of goods cleared from a customs office may be reviewed by the concerned Customs Officer or an employee deputed by him or her within four years from the date of clearance of the goods. (2) If, upon conducting a review under sub-section (1), it appears that there has been a short levy of duty recoverable, the duty so short levied shall be recovered from the owner of such goods as a government due. 71. Reward to be given to person arresting or providing information on smuggling: (1) If any employee or person provides information about an attempt or act of smuggling of any goods, or arrests such goods and deposits them at a customs office, and if such act is proven, a reward shall be given as prescribed. Added by Finance Act, 2075.71A.

Notwithstanding anything written in sub-section (1), an informant providing information on smuggling may be given an immediate informant fee of up to ten thousand rupees by the Director General, in accordance with the procedure prescribed by the Department, based on the truthfulness of the information. (2) The reward under sub-section (1) shall be given by the concerned customs office from the amount realized from the

auction sale of such smuggled goods. (3) Notwithstanding anything written in sub-section (2), if the Government of Nepal decides to allow any government body to use such goods, such body shall have the value of such goods determined by a committee as prescribed and provide the amount of the reward under sub-section (1) to the concerned customs office based on such value, and the customs office shall provide such amount to the informant and the person making the arrest. (4) The customs office shall keep confidential the name, surname, and details of the informant providing information on smuggling under sub-section (1). (5) Notwithstanding anything written in the prevailing Nepal law, the Customs Officer shall not be compelled to provide the name, surname, and details of an informant under this Act to any person or body, except when requested by a body investigating in the course of an investigation under the law or by a court, and such informant shall not be compelled to appear before any court, body, or office merely by reason of having provided information. (6) Other arrangements regarding receiving informant reports and distributing rewards shall be as prescribed. 72. 73. 74. 75. 76. Responsibility to lie with the owner or agent of goods: (1) If, upon examination of goods cleared from a customs office under Amended by Finance Act, 2075.sections 20, 28, or 29, and cleared under section 23, when such goods are later opened and examined by an authorized officer inside or outside the customs area, the goods inside the package or bale or the quantity are found to differ from the bill, invoice, other documents, or particulars submitted by the importer, the responsibility for such discrepancy shall lie with the owner of the goods or his or her agent. (2) The responsibility to submit proof to the satisfaction of the Customs Officer that any goods have been lawfully imported or that the duty lawfully payable on such goods has been paid shall lie with the person keeping such goods in his or her possession. 77.

Owner to bear expenses: The work of carrying goods, bringing them to a suitable place for examination and opening, loading and unloading machinery, opening, sorting, and marking the goods or the container, box, bag, packet, sack, or similar other packaging material containing such goods shall be done by the owner of the goods at his or her own expense. 78. Copies may be given: (1) Any concerned person wishing to obtain a copy of any certificate, bill, or other document kept in a customs office may submit an application with the fee as prescribed. (2) Upon inquiry into the application submitted under sub-section (1), the concerned Customs Officer may give a copy of such bill or document to the applicant. 79. Certificate for imported goods to be given: If a person importing goods on which sales tax or any other tax is levied in a foreign country applies to the concerned customs office for a certificate in this regard, the Customs Officer may, upon receiving the prescribed fee from the applicant, give a certificate in the prescribed format to the applicant. 80. Information may be requested: (1) An importer may apply to the concerned customs office to request information regarding the basis adopted by the customs office for determining the customs value of the goods imported by him or her. (2) If an application is made under sub-section (1), such office shall provide such information to the applicant within seven days. 81. Issue of summons and proceedings and disposal: (1) Notwithstanding anything written in the prevailing law, when a Customs Officer or another officer or employee of the customs office authorized by him or her issues an initial summons in the name of the concerned person in connection with an offense under this Act, it shall be issued as prescribed. (2) A summons issued under sub-section (1) shall not be liable to be served. (3) A case registered under this Act shall ordinarily be disposed of by the Customs Officer within three months. (4) If it is not possible to dispose of the case within the period under sub-section (3), the reason therefor shall be informed to the Director General. 82. Method of issuing notice: Except where a separate provision is made in this Act or the Rules made thereunder, when a customs office issues a personal or public notice in the name of a person concerned with or likely to be concerned with the work of the customs office, a period of Amended by Finance Act, 2075.fifteen days shall be given and the notice shall be issued as prescribed. 83.

Power may be delegated: (1) The Government of Nepal may, by publishing a notice in the Nepal Gazette, delegate all or some of the powers conferred on it under this Act or the Rules made thereunder to the Director General or any other officer specified in such notice. (2) The Director General may, as necessary, delegate some of the powers conferred on him or her under this Act to subordinate officers or employees. 84. Ministry of Finance may designate an officer and confer powers: The Ministry of Finance may confer all or some of the powers vested in a Customs Officer under this Act to any officer. 85. Ministry of Finance may designate any officer: (1) If a complaint is received that a Customs Officer or other employee is about to, is, or has performed any act contrary to this Act or the Rules made thereunder, the Ministry of Finance may designate another Customs Officer or other officer to take action in respect of such act. (2) The officer designated under sub-section (1) shall take such action in accordance with this Act. 86. Powers equivalent to a court: For the purposes of this Act, a Customs Officer shall have the same powers as a court of first instance under the prevailing law in relation to summoning the concerned person, recording statements, examining evidence, requiring the production of documents, and adjudicating the case. Added by Finance Act, 2075.87. Assistance to be provided: If a Customs Officer or other employee of a customs office, while performing duties or exercising powers under this Act or the Rules made thereunder, requests any kind of assistance, information, or help from any government employee, police, or financial institution, it shall be the duty of such financial institution, police, or employee to provide such assistance, information, or help. 88. No interference by other bodies: No authority or body shall interfere in any manner with goods lying within a customs office for export or import until such goods are cleared from that office and removed from the customs area. 88A. Provision regarding confidentiality: Information relating to customs valuation and other personal business information of a confidential nature submitted by an exporter or importer to a customs office shall be kept confidential, except when requested by an authorized officer for the purpose of investigation or audit, or by a court for the purpose of judicial proceedings. Amended by Finance Act, 2075.89.

Provision regarding advance rulings: (1) The Government of Nepal may, by publishing a notice in the Nepal Gazette, constitute a committee to issue advance rulings on the classification and origin of goods. (2) Other arrangements regarding the committee formed under sub-section (1) shall be as specified in the same notice. Added by Finance Act, 2075.89A. Customs cooperation agreement may be entered into: (1) The Government of Nepal may enter into an agreement with a foreign country for trade facilitation, mutual customs cooperation, and exchange of information. (2) For the purpose of the work under sub-section (1), the Director General shall act as the competent authority. (3) Subject to the prevailing Nepal law relating to treaties, the Director General may negotiate with the competent authority of another country regarding the agreement under this section or accept the final draft or authentic copy of the agreement. Amended by Finance Act, 2078.89B. Export or import code number to be obtained: (1) No person shall export or import goods without obtaining an export or import code number. Provided that, a person as prescribed may export or import goods without obtaining an export or import code number. (2) An export or import code number obtained under sub-section (1) shall be renewed as prescribed. (3) On renewal under sub-section (2), the prescribed fee shall apply. (4) Transactions relating to export or import shall not be carried out using such export or import code number without renewal. (5) If not renewed within the prescribed time, such export or import code number shall be automatically cancelled. Added by Finance Act, 2076.(6) The administration of the export or import code number under this section shall be carried out by the body designated by the Government of Nepal by publishing a notice in the Nepal Gazette, and until such notice is published, the work relating to the administration of such code number shall be carried out by the Customs Department. Added by Finance Act, 2078.(7) Other arrangements regarding the export or import code number shall be as

prescribed. 89C. Payment may be made through electronic means: (1) Notwithstanding anything written elsewhere in this Act, the duty, fine, or any other amount payable at a customs office under this Act or other prevailing federal law may be paid through electronic payment (e-payment). (2) Other arrangements regarding payment through electronic means (e-payment) under sub-section (1) shall be as prescribed by the Department. Added by Finance Act, 2076.89D.

Recognition of documents: (1) Notwithstanding anything written in the prevailing law, a document printed from the computer system by a Customs Officer using his or her official password, relating to clearance, shall be deemed to have the same validity as if signed by the employee, even if it does not bear the employee's signature. (2) Documents printed based on records in the computer system relating to the declaration of goods, exchange of information, or clearance made through electronic means using the official password provided by the customs office shall be deemed to have the same validity as if signed by the concerned person, even if they do not bear the signature of the concerned person. Added by Finance Act, 2078.89E.

Work may be carried out through National Single Window system: (1) The Government of Nepal may designate a body to develop and implement a National Single Window system to regulate international trade. (2) Until a body under sub-section (1) is designated, the implementation of the National Single Window system shall be carried out by the Department. (3) Bodies related to export or import shall be integrated into the National Single Window system developed by the Government of Nepal under sub-section (1). (4) Notwithstanding anything written in this Act or other prevailing law, a body related to export or import that is integrated into the National Single Window system shall carry out its work through the system under sub-section (1). (5) Other arrangements regarding the National Single Window system shall be as prescribed. Added by Finance Act, 2078.89F.

Internal transport of goods for export or import: (1) If goods arriving at a customs office are to be taken to another customs office for clearance without being cleared from the first office, the facility of internal transport may be granted to take such goods to such other customs office. (2) Other arrangements regarding internal transport shall be as prescribed by the Government of Nepal, Ministry of Finance, by publishing a notice in the Nepal Gazette. Amended by Finance Act, 2075.90. Order may be issued: (1) If any difficulty arises in the implementation of this Act, the Ministry of Finance may, by publishing a notice in the Nepal Gazette, issue an order not inconsistent with this Act to remove such difficulty. (2) If a Customs Officer has a doubt regarding customs valuation, clearance of goods, or any other matter relating to customs procedure, or if any difficulty arises in the performance of such kinds of work, the Director General may give appropriate orders to the Customs Officer, not inconsistent with this Act, to remove such doubt or difficulty. Added by Finance Act, 2076.91.

Power to take action: (1) If any person arrests goods brought in evasion of customs duty from outside the customs area and presents them at a customs office, the Customs Officer shall have the power to investigate and take action under this Act in respect thereof; and if presented at the Department, the Director General or any officer designated by him or her shall have such power. (2) Notwithstanding anything written elsewhere in this Act, if any information is received or suspicion arises regarding any goods that have already been cleared from a customs office, the Director General may designate an officer to take such goods under control, conduct necessary investigation, and submit a report. (3) Based on the report received under sub-section (2), the Director General may exercise powers equivalent to those of a Customs Officer under this Act and take necessary action. 92. Power to make Rules: (1) The Government of Nepal may make Rules to implement the objectives of this Act. (2) Without prejudice to the generality of sub-section (1), the Government of Nepal may make rules of origin regarding goods to be exported or imported. Amended by Finance Act, 2075.93. Directive and procedure may be made: The Department may, subject to this Act or the Rules made under this Act, make a directive or procedure on the following matters: (a) relating to valuation of

goods, (b) relating to clearance of goods on the basis of a selection system, (c) relating to post-clearance examination, (d) relating to clearance of relief materials, (e) relating to electronic declaration, clearance, and revenue payment, (f) relating to providing export or import code numbers, (g) relating to operation of duty-free shops on a competitive basis, Added by Finance Act, 2075.(g1) relating to operation of the National Single Window system, (h) relating to other matters connected with the performance of customs work. 94. Repeal and saving: (1) The Customs Act, 2019 is hereby repealed. (2) The Customs Department and customs offices established under the Customs Act, 2019 shall be deemed to have been established under this Act. (3) All acts done under the Customs Act, 2019 shall be deemed to have been done under this Act.